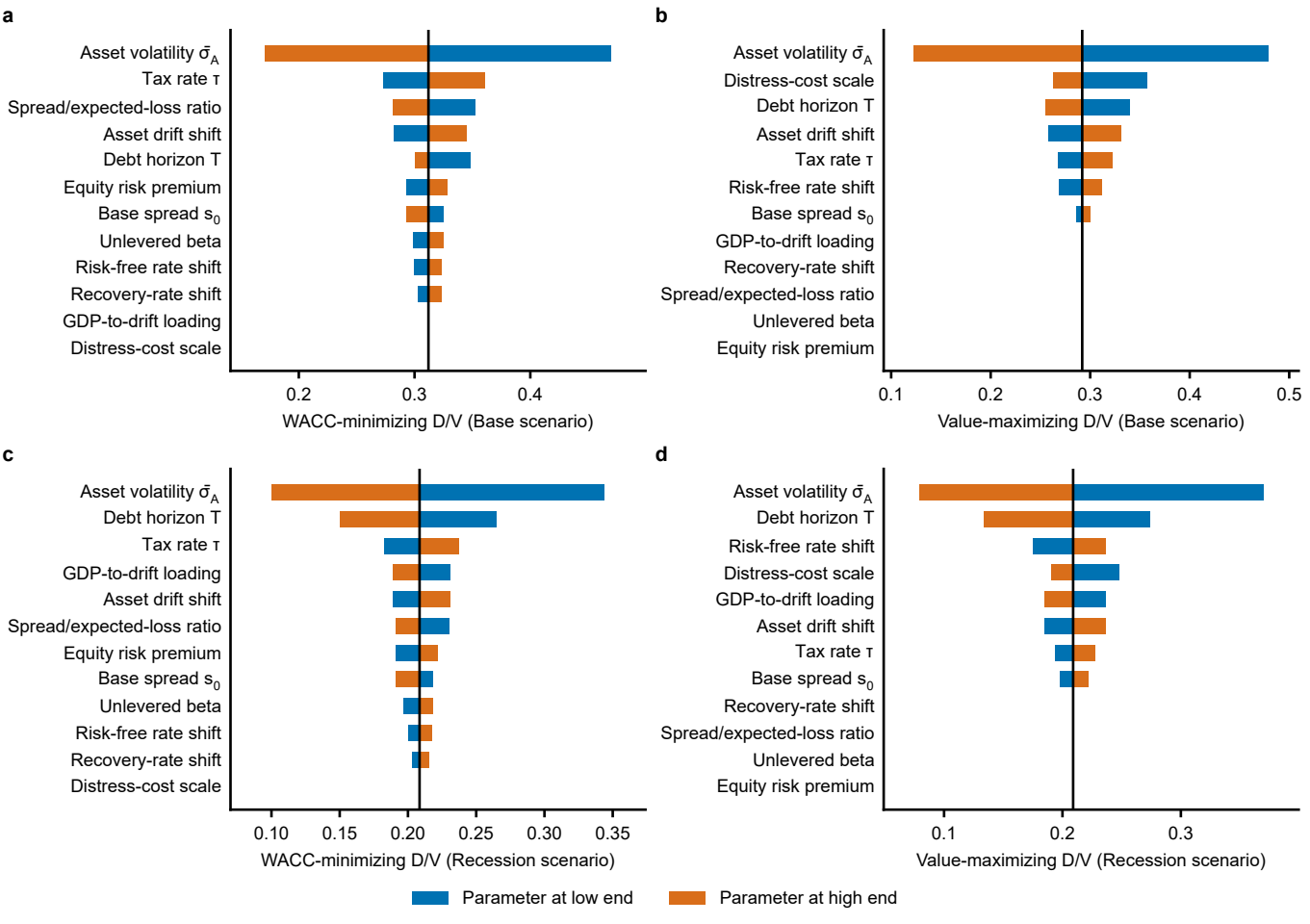
a
Asset volatility $\bar{\sigma}_A$
Tax rate τ
Spread/expected-loss ratio
Asset drift shift
Debt horizon T
Equity risk premium
Base spread s_0
Unlevered beta
Risk-free rate shift
Recovery-rate shift
GDP-to-drift loading
Distress-cost scale
0.2
0.3
0.4
WACC-minimizing D/V (Base scenario)
b
Asset volatility $\bar{\sigma}_A$
Distress-cost scale
Debt horizon T
Asset drift shift
Tax rate τ
Risk-free rate shift
Base spread s_0
GDP-to-drift loading
Recovery-rate shift
Spread/expected-loss ratio
Unlevered beta
Equity risk premium
0.1
0.2
0.3
0.4
0.5
Value-maximizing D/V (Base scenario)
c
Asset volatility $\bar{\sigma}_A$
Debt horizon T
Tax rate τ
GDP-to-drift loading
Asset drift shift
Spread/expected-loss ratio
Equity risk premium
Base spread s_0
Unlevered beta
Risk-free rate shift
Recovery-rate shift
Distress-cost scale
0.10
0.15
0.20
0.25
0.30
0.35
WACC-minimizing D/V (Recession scenario)
d
Asset volatility $\bar{\sigma}_A$
Debt horizon T
Risk-free rate shift
Distress-cost scale
GDP-to-drift loading
Asset drift shift
Tax rate τ
Base spread s_0
Recovery-rate shift
Spread/expected-loss ratio
Unlevered beta
Equity risk premium
0.1
0.2
0.3
Value-maximizing D/V (Recession scenario)
Parameter at low end
Parameter at high end